

Taxation For Overseas Investors

How Does Gift City Taxation Work In India?

For CAT III AIF (Lets Say, MO GIFT CITY IFSC TRUST - Founders):

- Fund pays tax on trade-to-trade basis to Indian Govt
- ~12.5% on Long term trades booked & ~20% on Short term trades booked (+ cess applicable)
- Investor gets tax-paid money at time of redemption
- Fund issues K1/Tax letter to investor to show details of LTCG/STCG booked & tax paid in India
- Investor checks from their own Accountant, if and how much further tax to be paid in home country

For Fund Of Funds (Lets Say, MO Gift City Fund Of Funds/ LMC MF Feeder Fund):

- This Fund structure does not pay any taxes in India
- Investor gets entire capital + gains (no tax impact) at the time of redemption
- Fund issues K1/Tax letter to investor to show details of LTCG/STCG booked & zero tax paid in India
- Investor checks from their own Accountant, if and how much further tax to be paid in home country

HOW DOES TAXATION WORK FOR USA INVESTOR?

PFIC vs Non-PFIC

What Is PFIC? Passive Foreign Investment Company

- PFIC funds are typically not registered with the USA Govt
- USA Govt discourages investors from PFIC Funds hence non-favourably taxed

Disadvantages Of PFIC (FOR USA INVESTORS):

- Tax on Unrealized gains every year
- Tax at highest bracket of ~40%+

Tax treatment in USA is not favourable for PFIC funds but favourable for Non-PFIC

Our Funds Are Non-PFIC (Favourably taxed in USA)

How? - By filing Form 8832, our funds are registered with the US authorities and hence classified as Non-PFIC

Advantages of Non-PFIC (for USA investors):

- Tax only on Realized gains every year
- Attractive tax slabs
- Can set-off taxes paid by fund in India (double taxation avoidance treaty)

What Are The Tax Slabs In USA?

Short Term Capital Gain Tax Slabs

For Total Income	
Upto \$48,000:	Tax @ 12%
Upto \$103,000:	Tax @ 22%
Upto \$197,000:	Tax @ 24%
Upto \$250,000:	Tax @ 32%
Upto \$626,000:	Tax @ 35%
More than \$626,000:	Tax @ 37%

Long Term Capital Gain Tax Slabs

For Total Income	
Upto \$48,000:	Tax @ 0%
Upto \$533,000:	Tax @ 15%
More than \$533,000:	Tax @ 20%

Majority of USA investors pay long term capital tax rate of ~15%

(Source: Internal Revenue Service, USA)

Taxation for USA investor - Founders (GIFT City) Vs MF Feeder (GIFT City)

For Founders Gift City AIF:

- Fund pays tax on trade-to-trade basis to Indian Govt at Indian Capital Gain rates of ~12.5% LTCG & ~20% STCG
- Investor gets tax-paid money in bank at time of redemption
- K1 is issued every year-end (31st Dec) to show LTCG & STCG booked by the fund & relevant taxes paid in India
- **NOTE:** LTCG & STCG is calculated on trade-to-trade basis of the transactions executed in portfolio
- Investor uses K1 to help calculate differential tax due in USA (Double taxation avoidance treaty applies)

Founders GIFT City AIF is Non-PFIC; hence no tax on unrealized gains

- PFIC tax rate (~40%+) does not apply. Being Non-PFIC, tax slab of USA applies (see earlier slide on rates)
- For eg: Investor earning \$500,000 (4cr p.a.) needs to pay tax slab in USA of LTCG ~15% & STCG ~35%
- Double tax avoidance treaty allows for tax paid in India to be set off against tax due in USA
- Investor only pays difference in tax due in USA minus tax already paid in India. Hence no double tax is paid.

Taxation for USA investor - Founders (GIFT City) Vs MF Feeder (GIFT City)

For Large & Midcap MF GIFT City Feeder:

- Neither the underlying mutual fund scheme, nor the feeder fund structure pays any tax in India
- Investor gets entire capital + gains (no tax impact) at time of redemption
- K1 is issued every calendar year-end (31st Dec) to show LTCG & STCG booked & relevant taxes paid in India
- **NOTE:** *LTCG & STCG is calculated on trade-to-trade basis of the transactions executed in underlying LMC MF scheme*
- Investor uses K1 to help calculate capital gain tax due in USA

LMC MF Feeder GIFT City structure is Non-PFIC; hence no tax on unrealized gain

- PFIC tax rate (~40%+) doesn't apply. Being Non-PFIC, tax slab of USA applies (see earlier slide on rates)
- For eg: Investor earning \$500,000 (4cr p.a.) needs to pay tax slab in USA of LTCG ~15% & STCG ~35%
- Investor pays capital gain tax in USA every financial year end (31st Dec), as per capital gain details shared in K1
- No tax is paid in India, hence no set-off applicable

Motilal Oswal Domestic AIFs are also Non-PFIC & issue K1:

1. Closed Ended Funds like

- Founders VI
- Mid to Mega III (can only take from NRO. Money from NRE not allowed)
- SOP IV (can only take money from NRO. Money from NRE not allowed)
- HEMSA

2. Open Ended Funds like

- Founders
- NTDOP
- HEMSA

All new fund launches will be 8832 registered, hence will be Non-PFIC status & will issue K1

As on June'25. Please check with internal team for further updates

Taxation for USA investor – Domestic AIFs (open or closed ended)

- Fund pays tax on trade-to-trade basis to Indian Govt at Indian Capital Gain rates of ~12.5% LTCG & ~20% STCG
- Investor gets tax-paid money in bank at time of redemption
- K1 certificate is issued at calendar year-end for USA based investors
- Investor uses K1 to help calculate differential tax due in USA (Double taxation avoidance treaty applies)
- K1 will be issued for both NRO & NRE investors

Taxation for USA investor for PMS

- TDS is calculated on trade-to-trade basis
- TDS is charged at ~12.5% + cess & STCG ~20% + cess on all gains. Set off for gains Vs losses is considered.
- TDS is paid to India Govt by AMC against PAN of each investor
- Investor can set-off the TDS credit paid to Govt at time of tax filing
- To take advantage of the TDS credit – the investor mandatorily has to file for ITR (tax returns) in India
- There is No Exemption possible to avoid the TDS from being deducted
- Audited long term/short term Capital gain/loss tax report is provided by AMC
- Since PMS is non-pooled (there is no Unitization of assets): **PMS vehicle is Non-PFIC**
- Tax is to be paid in USA every calendar year-end on realized gains based on capital gain report
- Investor pays tax in USA only the Difference in tax amount between India & USA
- Investor avoids paying double tax on gains

- Setting up PMS account for USA investor takes time (2-3 weeks)
- Investor has to mandatorily be in India while signing PMS forms (proof needed: immigration & declaration)

Taxation for USA investor for Equity MFs

- At time of redemption: TDS is deducted by RTA @LTCG ~12.5% or STCG ~20% based on amount of time units are held
- TDS is paid to India Govt by AMC against PAN of each investor
- Investor can set-off the TDS credit paid to Govt at time of tax filing
- To take advantage of the TDS credit – the investor mandatorily has to file for ITR (tax returns) in India
- There is No Exemption possible to avoid the TDS from being deducted
- **Mutual Funds in India are typically classified as PFIC** (Passive Foreign Investment Company)
- Tax rate to be paid by USA investor is at highest tax slab (~40%+)
- Tax is to be paid every calendar year-end on both realized & unrealized gains

For Ex: Purchase on 1st June 2025 @ NAV Rs 10;

Value on 31st Dec 2025 @ NAV Rs 12 (no redemption done);

USA investor has to pay tax on unrealized gain of Rs 2 @ rate of ~40%+ (even though no redemption has been done)

- Investor has to mandatorily be in India at time of investing in MF (proof needed: immigration & declaration)

GIFT City AIFs vs Domestic AIFs vs PMS vs MF: for USA Investor

- At time of investment:

MF & PMS & Domestic AIF -

- Investor has to be present in India and provide immigration proof + declaration
- Funds only accepted from NRE/NRO bank accounts
- Only INR currency accepted

Gift City: AIF or MF Feeder -

- Investor can invest from USA, without being present in India, via email onboarding
- Funds only accepted from Oversees or NRE bank account. NRO funds not accepted.
- Only USD currency accepted

- Tax treatment: PFIC vs Non-PFIC

- MF considered PFIC (not tax favorable)
- PMS considered Non-PFIC because stocks are directly purchased in demat & not a unitized vehicle (No NAV)
- Domestic AIFs considered Non-PFIC (favorable taxation) because 8832 filling done. K1 will be issued.
- Gift city AIF or MF Feeder considered Non-PFIC (favorable taxation) because 8832 filling done. K1 will be issued.

- Time taken to invest & depth of documentation:

- MFs: same day investment possible (on fund realization before 3pm) & minimal documents required.
- PMS: 2-3 weeks time. Extensive documentation required. Fresh bank account & PIS & demat to be opened.
- Domestic AIFs: 1-2 days for folio creation. Minimal documents required. Demat mandatory.
- Gift city AIF or MF Feeder: 6-7 days for folio creation. Indian proofs not required. Only overseas proofs needed. No demat.

Winner Vehicle for USA Investors?

FOUNDERS GIFT CITY AIF

- Non-PFIC due to 8832 filing
- K1 certificate issued
- Investor sets off tax paid by fund in India & pays differential tax amount in USA every year-end
- Founders may be marginally better choice, since portfolio turnover can be lower for Founders Vs LMC

GIFT CITY MF FEEDER

- Non-PFIC due to 8832 filing
- K1 certificate issued
- Investor does not deal with setting off taxes as no tax paid in India.
- MF Feeder may be marginally better choice because Investor gets full amount at redemption (no tax deducted)

HOW DOES TAXATION WORK FOR UAE INVESTOR?

Taxation for UAE investor - Founders (GIFT City) Vs MF Feeder (GIFT City)

Applies to all countries which have zero capital gain tax regime in home country

Example: Singapore, UAE, Bahrain, Malaysia, Hong Kong, Thailand, etc

AIFs (FOUNDERS GIFT CITY):

- Fund pays tax on trade-to-trade basis to Indian Govt
- Investor gets tax-paid money at time of redemption
- The capital gain tax paid by fund in India cannot be set-off in home country

LMC GIFT CITY FEEDER MF:

- Fund structure does not pay any tax in India
- Investor gets entire capital + gains (no tax impact) at time of redemption
- Since there is no capital gain tax in home country – Investor does not pay tax
- Investor gets full benefit of compounding on entire capital

Taxation for UAE investor – Domestic AIFs

- Fund pays tax on trade-to-trade basis to Indian Govt at Indian Capital Gain rates of ~12.5% LTCG & ~20% STCG
- Investor gets tax-paid money in bank at time of redemption
- **Tax paid to Indian Govt cannot be set off or reclaimed by investor**
- Folio can be set up digitally without client being in India (provided KYC verified and Aadhaar OTP available)

Taxation for UAE investor for PMS

- TDS is calculated on trade-to-trade basis
 - TDS is cut by Bank @ LTCG ~12.5% & STCG ~20% + cess
 - TDS is paid to India Govt by AMC against PAN of each investor
 - Investor can set-off the TDS credit paid to Govt at time of tax filing
 - To take advantage of the TDS credit – the investor mandatorily has to file for ITR (tax returns) in India
 - There is no exemption to TDS by providing TRC (Tax Residency Certificate)
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- Setting up PMS account for NRI investor takes time (2-3 weeks)
 - Investor has to have visited India in last 5 months (proof needed by immigration stamp)

Taxation for UAE investor for Equity MFs

- At time of redemption: TDS is cut by RTA @ LTCG ~12.5% or STCG ~20% based on amount of time units are held
- TDS is paid to India Govt by AMC against PAN of each investor at time of redemption
- Investor can set-off or claim the TDS credit amount paid to Govt at time of tax filing
- There is possible exemption to TDS by providing **TRC (Tax Residency Certificate)** at time of redemption to AMC
- However exemption to TDS doesn't mean exemption to paying tax on capital gain accrued in India.
- For exemption to pay tax – investor must check with Accountant if deemed resident status is applicable or not

Issues related to TRC:

- Responsibility of investor to provide valid TRC & supporting docs to AMC along with redemption request
- TRC costs Rs 25,000+ every year for individuals and Rs 50,000+ for companies
- TRC has validity of only 1 year, hence needs to be renewed every year
- Several documents and proofs required by UAE Govt to get TRC
- TRC only given to individuals who have stayed in UAE more than 183 days in a year
- TRC not issued to companies in its first year of operations
- Very less awareness in industry about TRC

Winner Vehicle for UAE Investors?

GIFT CITY LARGE & MIDCAP MUTUAL FUND FEEDER

- No break in compounding by paying tax
- Tax not paid in India & Tax not paid in home country

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